Loan Agreement – Business Term Loan

Loan of ₹5,00,000 at a fixed **17.00% per annum** (reducing balance), repayable in **36 monthly EMIs of ₹17,827** due on the **10th of each month** from 10 May 2025 to 10 April 2028. Grace period 3 days; late payment charge ₹500 flat per EMI after it; no prepayment or foreclosure charge.

This Loan Agreement (the "Agreement") is made at Lucknow on 2 April 2025 between **BusinessFlow Finance**, a non-banking financial company having its registered office at Mumbai, Maharashtra (the "Lender"), and **Ramesh Yadav**, sole proprietor of **Yadav Dairy & Sweets**, a dairy and sweet shop with a small production unit, carrying on business at Shop 3, Kapoorthala Complex, Aliganj, Lucknow, Uttar Pradesh 226024 (the "Borrower").

1. Definitions

In this Agreement: "EMI" means each equated monthly instalment set out in Schedule II; "Due Date" means the date on which an EMI falls due under Schedule II; "Grace Period" means the 3 calendar days immediately after a Due Date; "Outstanding Balance" means the EMIs not yet paid together with any late payment charge not yet paid or waived; "Policies" means the Lender's published policies BFF-POL-01 to BFF-POL-07, as amended from time to time with notice to the Borrower.

2. The loan

2.1 The Lender agrees to lend and the Borrower agrees to borrow ₹5,00,000 (Rupees Five Lakh only) (the "Loan") for expansion of the sweets production unit (boiler, khoya machine, shop fit-out), and for no other purpose.

2.2 The Loan was disbursed in one tranche on 8 April 2025 to the Borrower's account with Punjab National Bank, Aliganj branch (current a/c ending 7730), net of the processing fee of ₹7,500.00 and GST of ₹1,350.00 on it, so that ₹4,91,150.00 was credited to the Borrower.

3. Interest

3.1 Interest is charged at the fixed rate of **17.00% per annum** on the reducing balance of the Loan, computed monthly and payable as part of each EMI. The rate does not change during the tenure.

3.2 The Annual Percentage Rate (APR) of the Loan, including the processing fee, is 18.28% per annum, as stated in the Key Fact Statement given to the Borrower before this Agreement was signed. The total interest payable over the tenure is ₹1,41,742.43.

4. Repayment

4.1 The Borrower shall repay the Loan with interest in 36 EMIs of ₹17,827 each, the first on 10 May 2025 and the last on 10 April 2028, on the 10th of each month, as set out in Schedule II. The last EMI is ₹17,797.43, as it absorbs the rounding of the earlier EMIs.

4.2 The Borrower has registered a NACH mandate on Punjab National Bank, Aliganj branch (current a/c ending 7730) for an amount not less than the EMI, and shall keep that account funded on every Due Date. A Due Date falling on a bank holiday is presented on the next working day.

4.3 If a NACH debit fails, the EMI remains payable. The Borrower may pay it through a payment link sent by the Lender (valid for 72 hours), by UPI, or by NEFT, IMPS or RTGS to the Lender's HDFC Bank, Fort branch, Mumbai -- collections account ending 4417 (IFSC HDFC0000060), quoting the loan number BFF/TL/2025/0137 in the remarks.

5. Grace period and late payment charge

5.1 An EMI received within the Grace Period is treated as paid on time for every purpose, and no charge applies.

5.2 An EMI remaining unpaid after the Grace Period attracts a flat late payment charge of ₹500, levied once for that EMI. It is not levied per day, is not compounded, is not added to the principal and bears no interest. The Lender levies no charge for a returned or dishonoured NACH debit; the Borrower's bank may levy its own.

5.3 Only an authorised officer of the Lender may waive a late payment charge, by a recorded decision with the reason, which is communicated to the Borrower.

6. Application of payments

Every payment is applied first to the EMI that is due, then to any late payment charge outstanding, oldest first, and any balance is credited towards the next EMI, unless the Borrower asks for it to reduce the EMI or the remaining number of EMIs, as policy BFF-POL-02 provides.

7. Prepayment and closure

7.1 The Borrower may prepay all or part of the Outstanding Balance at any time without any prepayment or foreclosure charge.

7.2 When the Outstanding Balance has been paid in full, the Lender shall, on request, issue a closure (no-dues) certificate and report the Loan as closed to the credit information companies.

8. Difficulty in paying

If the Borrower expects difficulty in paying an EMI, the Borrower should inform the Lender as early as possible. The Lender will consider, in accordance with policy BFF-POL-04 and subject to approval by its officer: a promise to pay in up to four parts within 90 days; a part-payment of at least 70% of one EMI; an extension of the tenure by one to three months, which spreads the remaining EMIs over the longer tenure without additional interest; or a one-time settlement of the remaining EMIs less 5%, paid in one payment. Any such arrangement binds the Lender only once confirmed in writing.

9. The Borrower's undertakings

- To use the Loan only for the purpose in clause 2.1 and to keep proper books of account of the business.
- To inform the Lender within 15 days of any change of address, mobile number, business name or bank account, and to register a fresh NACH mandate before closing the account on which the existing mandate is registered.
- Not to raise any other loan against the assets financed by this Loan without the Lender's consent.
- To give true and complete information; the Borrower confirms that all information given in the application is true.

11. Events of default

Each of the following is an event of default: (a) any EMI or other amount remaining unpaid for 90 days or more after its Due Date; (b) any information given by the Borrower proving to have been false in a material respect; (c) the sale or transfer of the business without the Lender's consent; (d) the Borrower closing the business or becoming insolvent.

12. Consequences of default

On an event of default the Lender may, after giving the Borrower 15 days' written notice and an opportunity to be heard, declare the Outstanding Balance immediately payable. The Lender reports the repayment record of the Loan to the credit information companies as the law requires. The Lender does not engage third-party recovery agents for this Loan; all follow-up is by its own staff and its automated assistant, in accordance with its Fair Practices Code (policy BFF-POL-01).

13. Communication

The Lender communicates with the Borrower through its web assistant, through Telegram once the Borrower has linked it, and by phone, in the Borrower's chosen language (Hinglish). The assistant is automated and is identified as such; it cannot waive a charge, change the terms of this Agreement or approve a restructuring. The Borrower may ask for a person at any time.

14. Grievances

The Borrower may raise any grievance through the assistant, Telegram or by phone; it is handled under policy BFF-POL-05, with escalation to the Grievance Redressal Officer and the Principal Nodal Officer and, after 30 days or an unsatisfactory reply, to the Reserve Bank – Integrated Ombudsman Scheme, 2021.

15. Assignment

The Lender may assign or securitise the Loan in accordance with the directions of the Reserve Bank of India, with notice to the Borrower; the Borrower may not assign this Agreement.

16. Governing law

This Agreement is governed by the laws of India. The courts at Mumbai and at Lucknow have jurisdiction.

17. Special conditions

- None.

Schedule I – Loan details

Item	Detail
Loan number	BFF/TL/2025/0137
Borrower	Ramesh Yadav (PAN XXXXX5102X, Aadhaar XXXX XXXX 5102), mobile +919812345102
Business	Yadav Dairy & Sweets – dairy and sweet shop with a small production unit
Product	Business Term Loan
Purpose	expansion of the sweets production unit (boiler, khoya machine, shop fit-out)
Loan amount	₹5,00,000
Rate of interest	17.00% per annum, fixed, reducing balance
APR	18.28% per annum
Tenure	36 months
EMI	₹17,827 (last EMI ₹17,797.43)
EMI due date	10th of each month, 10 May 2025 to 10 April 2028
Processing fee	1.5% = ₹7,500.00 + GST ₹1,350.00, deducted from the disbursement
Amount credited	₹4,91,150.00 on 8 April 2025
Total amount payable	₹6,41,742.43 (principal ₹5,00,000 + interest ₹1,41,742.43)
Grace period	3 days after each due date
Late payment charge	₹500 flat per EMI unpaid after the grace period
Prepayment / foreclosure charge	Nil
Repayment mode	NACH mandate on Punjab National Bank, Aliganj branch (current a/c ending 7730)
Security	Unsecured

Schedule II – Repayment schedule

EMI no.	Due date	Opening principal	Interest	Principal	EMI	Closing principal
1	10-May-2025	₹5,00,000.00	₹7,083.33	₹10,743.67	₹17,827.00	₹4,89,256.33
2	10-Jun-2025	₹4,89,256.33	₹6,931.13	₹10,895.87	₹17,827.00	₹4,78,360.46
3	10-Jul-2025	₹4,78,360.46	₹6,776.77	₹11,050.23	₹17,827.00	₹4,67,310.23
4	10-Aug-2025	₹4,67,310.23	₹6,620.23	₹11,206.77	₹17,827.00	₹4,56,103.46
5	10-Sep-2025	₹4,56,103.46	₹6,461.47	₹11,365.53	₹17,827.00	₹4,44,737.93
6	10-Oct-2025	₹4,44,737.93	₹6,300.45	₹11,526.55	₹17,827.00	₹4,33,211.38
7	10-Nov-2025	₹4,33,211.38	₹6,137.16	₹11,689.84	₹17,827.00	₹4,21,521.54
8	10-Dec-2025	₹4,21,521.54	₹5,971.56	₹11,855.44	₹17,827.00	₹4,09,666.10
9	10-Jan-2026	₹4,09,666.10	₹5,803.60	₹12,023.40	₹17,827.00	₹3,97,642.70
10	10-Feb-2026	₹3,97,642.70	₹5,633.27	₹12,193.73	₹17,827.00	₹3,85,448.97
11	10-Mar-2026	₹3,85,448.97	₹5,460.53	₹12,366.47	₹17,827.00	₹3,73,082.50
12	10-Apr-2026	₹3,73,082.50	₹5,285.34	₹12,541.66	₹17,827.00	₹3,60,540.84

13	10-May-2026	₹3,60,540.84	₹5,107.66	₹12,719.34	₹17,827.00	₹3,47,821.50
14	10-Jun-2026	₹3,47,821.50	₹4,927.47	₹12,899.53	₹17,827.00	₹3,34,921.97
15	10-Jul-2026	₹3,34,921.97	₹4,744.73	₹13,082.27	₹17,827.00	₹3,21,839.70
16	10-Aug-2026	₹3,21,839.70	₹4,559.40	₹13,267.60	₹17,827.00	₹3,08,572.10
17	10-Sep-2026	₹3,08,572.10	₹4,371.44	₹13,455.56	₹17,827.00	₹2,95,116.54
18	10-Oct-2026	₹2,95,116.54	₹4,180.82	₹13,646.18	₹17,827.00	₹2,81,470.36
19	10-Nov-2026	₹2,81,470.36	₹3,987.50	₹13,839.50	₹17,827.00	₹2,67,630.86
20	10-Dec-2026	₹2,67,630.86	₹3,791.44	₹14,035.56	₹17,827.00	₹2,53,595.30
21	10-Jan-2027	₹2,53,595.30	₹3,592.60	₹14,234.40	₹17,827.00	₹2,39,360.90
22	10-Feb-2027	₹2,39,360.90	₹3,390.95	₹14,436.05	₹17,827.00	₹2,24,924.85
23	10-Mar-2027	₹2,24,924.85	₹3,186.44	₹14,640.56	₹17,827.00	₹2,10,284.29
24	10-Apr-2027	₹2,10,284.29	₹2,979.03	₹14,847.97	₹17,827.00	₹1,95,436.32
25	10-May-2027	₹1,95,436.32	₹2,768.68	₹15,058.32	₹17,827.00	₹1,80,378.00
26	10-Jun-2027	₹1,80,378.00	₹2,555.36	₹15,271.64	₹17,827.00	₹1,65,106.36
27	10-Jul-2027	₹1,65,106.36	₹2,339.01	₹15,487.99	₹17,827.00	₹1,49,618.37
28	10-Aug-2027	₹1,49,618.37	₹2,119.59	₹15,707.41	₹17,827.00	₹1,33,910.96
29	10-Sep-2027	₹1,33,910.96	₹1,897.07	₹15,929.93	₹17,827.00	₹1,17,981.03
30	10-Oct-2027	₹1,17,981.03	₹1,671.40	₹16,155.60	₹17,827.00	₹1,01,825.43
31	10-Nov-2027	₹1,01,825.43	₹1,442.53	₹16,384.47	₹17,827.00	₹85,440.96
32	10-Dec-2027	₹85,440.96	₹1,210.41	₹16,616.59	₹17,827.00	₹68,824.37
33	10-Jan-2028	₹68,824.37	₹975.01	₹16,851.99	₹17,827.00	₹51,972.38
34	10-Feb-2028	₹51,972.38	₹736.28	₹17,090.72	₹17,827.00	₹34,881.66
35	10-Mar-2028	₹34,881.66	₹494.16	₹17,332.84	₹17,827.00	₹17,548.82
36	10-Apr-2028	₹17,548.82	₹248.61	₹17,548.82	₹17,797.43	₹0.00

For BusinessFlow Finance
Authorised signatory (Credit Operations)
Signed electronically on 2 April 2025

Ramesh Yadav, Borrower
Signed by Aadhaar e-Sign on 2 April 2025
e-Sign reference ending 345102